

TAMPA BAY
REAL ESTATE

LEAD-MAGNET GUIDE · UPDATED MAY 2026

Mortgage & Financing Roadmap

From Pre-Approval to Closing — In Plain English.

By Kevin Freel

Century 21 Beggins · 40+ Years Tampa Bay Experience

CHAPTER 00 · WELCOME

A Note From Kevin

Buying a home — especially your first one — can feel like learning a new language. Pre-quals, points, PMI, LTV, escrow, underwriting. It is a lot. After more than four decades helping families across Tampa Bay, I have learned that 90% of buyer stress comes from not understanding the financing piece.

This roadmap walks you through every step — what to gather, what to avoid, what to expect, and what the jargon actually means. I have boiled it down to what genuinely matters and stripped out everything that does not. There are no upsells, no gotchas, and no lender kickbacks hidden in these pages.

When you are ready — whether that is next week or next year — I am a phone call away. No pressure, no pitch. Just the honest answers I would give my own family.

Here is everything you need to know about financing your Tampa Bay home — without the jargon.

— Kevin Freel

40+ Years Experience	1,200+ Properties Sold	#1 Agent at C21 Beggin's	14th In Florida Statewide
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What's Inside

Eight short sections. Each is designed to be read in 3 to 5 minutes.

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"You don't need to know everything. You just need to know what to ask next."

SECTION 01 · PREPARATION

Before You Even Call a Lender

The fastest pre-approvals come from buyers who have these ready on day one.

Income Documents

- Last 2 W-2 forms (most recent two tax years)
- Last 30 days of paystubs
- Last 2 years of federal tax returns — with *all* schedules attached

If You're Self-Employed

- 2 years of business tax returns
- Year-to-date Profit & Loss statement (P&L)
- Business bank statements for the last 2 months

Assets & Reserves

- Last 2 months of statements for **every** account you intend to use — checking, savings, retirement, brokerage. All pages, even if the last page is blank.

Debts & Obligations

- A list of every credit card, car loan, student loan, child support, and alimony — with the monthly payment amount for each. Lenders will verify, but having it ready saves a week.

Identification

- Driver's license or U.S. passport
- Social Security card (the original — not a photocopy)

For VA Loan Applicants

- DD-214 form (Certificate of Release or Discharge from Active Duty)
- Certificate of Eligibility (COE) — your lender can pull this for you

Down Payment Proof

- If any portion of your down payment is gift funds, you'll need a signed gift letter from the giver stating it is not a loan, plus their bank statements showing the funds.

KEVIN'S TIP

Don't make any large deposits in the 60 days before applying — every \$1,000+ deposit will need a paper trail. Easier to just wait. If you have to make a large deposit, document it (sale of car, tax refund, etc.) the moment it happens so you don't have to reconstruct it later.

What Lenders Are Actually Looking For

Understanding the four pillars of mortgage qualification helps you see your file the way underwriters do. They are weighing four factors:

CAPACITY	CREDIT	CAPITAL	COLLATERAL
Can you afford it? Measured by debt-to-income (DTI). Most loans require under 43-50%.	Will you pay it back? Measured by FICO score. 620 minimum for most programs; 740+ for best rates.	Down payment + reserves. Lenders like to see 2-6 months of mortgage payments left after closing.	Is the home worth the loan? Confirmed by appraisal — protects the lender if you default.

Underwriters cross-check every pillar — strength in one cannot fully offset weakness in another. The best pre-approvals are balanced across all four.

SECTION 02 · CREDIT

Strengthen Your Credit in 60 Days

Your credit score is the single biggest factor in your mortgage rate. Here's how to move the needle fast.

- 1 Pay credit cards to under 30% utilization**
Below 30% of the limit — not just below the limit itself. Doing this one month before you pull your report can move scores 20+ points.
- 2 Do not close old credit cards**
Average age of accounts matters. Keep older cards open with a small recurring charge (a Netflix subscription, for example) paid in full each month.
- 3 Do not apply for any new credit**
Every hard pull dings your score 3-5 points, and lenders see them. No new cards, no car loans, no store financing — not until after closing.
- 4 Pull your reports free at annualcreditreport.com**
Then dispute any errors. About one in four reports has something wrong on them, and the fix takes 30-60 days. Start now.
- 5 Pay everything on time**
Even one 30-day late payment can drop scores 60-100 points. Set up autopay for the minimum on every account today — you can always pay more on top, but the minimum guarantees you're never late.
- 6 Pay early in the billing cycle**
Credit card companies report balances mid-cycle, not after your due date. If you pay the statement balance just before the close date, the balance reported to the bureaus looks lower — which raises your score.

KEVIN'S TIP

If your score is borderline — say 660 — waiting 60 days to do these things could save you 0.5% on your interest rate. Over a 30-year loan, that's tens of thousands of dollars. Patience pays.

SECTION 03 · TIMELINE

Pre-Approval to Closing

What happens, and when — from application to handing you the keys.

DAY 1-3	Submit application; lender pulls credit You fill out the application (online or in person). The lender runs a tri-merge credit report and gives you an initial read.
WEEK 1	Pre-approval letter issued Once income and credit are reviewed, you receive your pre-approval letter. This is the green light to start writing offers.
OFFER DAY	Update pre-approval for the property When you find the home, your lender updates the letter with the exact address, offer amount, and seller name. Sellers expect this.
DAY 1-5 POST-CONTRACT	Appraisal ordered; inspection scheduled Lender orders the appraisal (you pay \$500-\$700). You schedule the home inspection separately. Both happen in parallel.
DAY 5-15	Underwriting review The underwriter scrubs everything. Expect requests for additional docs — letters of explanation, updated paystubs, source-of-funds. Respond same-day if possible.
DAY 15-25	Clear to close Lender issues the "clear to close" — final approval. The closing disclosure is sent at least 3 business days before closing.
DAY 25-30	Final walkthrough + closing You walk the home one last time (usually 24 hours before closing), sign 80-100 pages at the title company, and get the keys.

SECTION 03 · CONTINUED

Red Flags That Could Delay Closing

From the moment your offer is accepted until you sign at closing, your financing is fragile. Avoid these — every one of them has killed a deal I've worked on.

DO NOT DO ANY OF THIS



Change jobs

Underwriting verifies employment as recently as the day before closing. A new job — even a better one — restarts everything.



Buy a car or furniture on credit

Your debt-to-income ratio is calculated continuously. A \$500/month car payment can disqualify you outright.



Move large amounts between accounts

Lenders look for "seasoning" — money that has been in your account for 60+ days. Moving funds raises flags.



Co-sign a loan for anyone else

Co-signing counts as your debt, even though you're not the primary borrower. This includes student loans for kids.



Delay responding to your lender

Documents requested by Friday should be back by Monday at the latest. Slow responses = delayed closings = expired rate locks.



Open or close any credit accounts

Even closing an old card you haven't used in years can shift your score. Keep the financial picture frozen until after closing.

SECTION 04 · LOAN TYPES

Common Mortgage Types

Most Tampa Bay buyers use one of these four loan programs. Here's the plain-English summary of each.

MOST COMMON

Conventional

3% to 20% down payment. Anything under 20% requires Private Mortgage Insurance (PMI), which drops off automatically once you reach 22% equity. Best for buyers with strong credit (700+).

FIRST-TIME FRIENDLY

FHA

Just 3.5% down with credit scores as low as 580. Easier qualifying than conventional, but mortgage insurance (MIP) stays for the life of the loan unless you refinance. Good stepping stone.

FOR ELIGIBLE VETERANS

VA

Zero down. No PMI. Competitive rates. **Kevin's favorite for those who qualify.** Requires a DD-214 and Certificate of Eligibility. Funding fee can usually be rolled into the loan.

RURAL AREAS ONLY

USDA

Zero down, but only in eligible USDA-designated areas. Around Tampa Bay, this means parts of Pasco, Polk, and Hernando counties — not the urban core. Income limits apply.

ALSO WORTH KNOWING: There are **Jumbo loans** (over \$766k in 2026 for most areas), **Doctor loans**, **Bank Statement loans** for the self-employed, and **DSCR loans** for investors. Ask Kevin which fits your situation.

SECTION 05 · WARNINGS

Red Flags to Avoid

Six warning signs that should make you slow down — or walk away.

- 1 Lenders who say "we don't pull credit yet"**
They literally cannot give you a real pre-approval without a credit pull. What they're offering is a pre-qualification — a guess. Sellers will not take it seriously.
- 2 Rates that seem too good to be true**
Often there are hidden fees, short rate locks (15 days), or buy-downs baked in that you'll pay for at closing. Always compare the APR, not just the rate.
- 3 "Buy down" pitches without math**
Paying points to lower your rate can be smart — or terrible. Get the actual cost in dollars vs. the monthly savings, divide, and see how long it takes to break even. Some don't pencil out.
- 4 Pressure to close in under 21 days**
Sometimes legitimate (you'll lose the deal otherwise), but sometimes a sign the lender is hiding issues that will surface in underwriting. Ask why the rush.
- 5 Adjustable Rate Mortgages (ARMs) right now**
Fixed rates have been favorable in 2026. ARMs only make sense if you genuinely plan to sell or refinance in 5-7 years. For most buyers, the stability of a fixed rate is worth it.
- 6 Online-only lenders for first-time buyers**
When the loan hits a snag at 11pm three days before closing, you want a person you can call. For your first home, work with someone local who answers the phone.

SECTION 06 · REFERRALS

Kevin's Preferred Lender Network

Forty years of working with Tampa Bay lenders means a short list of names I trust completely.

Kevin maintains relationships with 4-6 trusted Tampa Bay lenders who consistently close on time, communicate clearly, and offer competitive rates. Different lenders are better for different situations — first-time buyers, self-employed borrowers, jumbo loans, VA loans, and investor financing each have a specialist on the list.

When you are ready to apply, Kevin will introduce you personally. These are not paid referrals — there are no kickbacks, no quotas, and no commissions exchanged. They are simply 40 years of trust with people who have earned it.

Ask Kevin for the right introduction based on your situation. He'll send an email or text introducing you directly to the right person, share what you'll need, and then step back so you can have an honest conversation.

01

No kickbacks

Kevin earns nothing from these introductions. The recommendation is based purely on the lender's track record.

02

Always closes on time

Every lender on the list has a multi-year history of closing on or before the contracted date with Kevin's clients.

03

Answers the phone

On nights, weekends, and the day before closing. The kind of service you cannot get from an online-only lender.

SECTION 07 · FAQ

Frequently Asked Questions

The six questions Kevin hears most often from buyers.

Q. How much should I get pre-approved for vs. how much should I actually spend?

These are different answers. Kevin's rule: spend no more than 28% of your gross monthly income on PITI (Principal, Interest, Taxes, Insurance), even if the bank approves you for more. Banks approve based on what you *could* afford on paper — not what you can afford while still living comfortably.

Q. What is PITI?

Principal, Interest, Taxes, and Insurance — the four components of your monthly mortgage payment. Property taxes in Hillsborough County are roughly 1.1% of value; Pinellas is around 0.97%. Homeowners insurance in Tampa Bay is high — \$3,500 to \$8,000 per year is normal in 2026, especially in coastal areas. Budget accordingly.

Q. Should I pay points to lower my rate?

Math depends on how long you'll stay. If you'll be in the home 7+ years, often yes. Under 5 years, usually no. Ask your lender for the break-even point in months — that's the only number that matters.

Q. What's the difference between pre-qualification and pre-approval?

Pre-qualification is a quick guess based on what you tell the lender — no verification. Pre-approval involves credit pull, income docs, and asset review. Sellers will not take pre-quals seriously, especially in multiple-offer situations.

Q. Can I close in my LLC?

Yes for investment properties — and often the best way to structure them. Usually not for a primary residence, because conventional financing requires you take title individually. Commercial-style DSCR loans allow LLC ownership but at higher rates. Kevin can walk you through the trade-offs.

Q. What if I'm self-employed?

You have options. Bank statement loans use 12-24 months of deposits to qualify. P&L loans use a CPA-prepared profit and loss. DSCR loans for investors qualify on the property's income, not yours. Plan on 24 months of business tax returns for traditional financing.

SECTION 08 · GLOSSARY

Plain-English Mortgage Terms

Print this page, or fold the corner. You'll come back to it.

PITI	Principal, Interest, Taxes, and Insurance — the four parts of your monthly payment.
LTV (Loan-to-Value)	The size of your loan as a percentage of the home's value. 80% LTV means you put 20% down.
DTI (Debt-to-Income)	Your monthly debt payments divided by your gross monthly income. Most loans require DTI under 43-50%.
APR vs. Rate	The interest rate is what you pay on the loan. APR includes the rate plus fees, expressed annually — a truer comparison number.
PMI (Private Mortgage Insurance)	Required on conventional loans when you put less than 20% down. Drops off automatically at 22% equity.
MI / MIP (Mortgage Insurance Premium)	FHA's version of PMI. Stays for the life of the loan unless you refinance to a conventional product.
Escrow	A neutral third-party account. Used both for earnest money during the contract, and for taxes/insurance after closing (paid monthly with your mortgage).
Title	Legal ownership of the home. A title company verifies the title is clean and issues title insurance to protect you and the lender.
Points (Discount Points)	Pre-paid interest that buys down your rate. One point equals 1% of the loan amount and typically lowers the rate 0.25%.
Origination Fee	The lender's fee for processing the loan. Usually 0.5% to 1% of the loan amount. Negotiable.
Earnest Money	A good-faith deposit (typically 1-3% of the purchase price in Tampa Bay) held in escrow when your offer is accepted.
Appraisal Contingency	A contract clause that lets you walk away (or renegotiate) if the home appraises for less than your offer.
Inspection Contingency	A clause that lets you back out, ask for repairs, or renegotiate based on the home inspection findings.

READY TO START

Let's make a plan.

No pressure. No pitch. Just an honest conversation about your goals.



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